GEOECONOMIC STRATEGY UNIT

Iran at the Inflection Point: Escalation Risk in the Middle East

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Overview

US military deployments in the Middle East are increasing as tensions with Iran rise. The build-up raises escalation risk as Washington presses Tehran in nuclear talks, creating direct spillovers for energy markets, shipping lanes, and regional airspace. The accumulation of American air power in the region is the largest since the 2003 invasion of Iraq, reflecting the Trump administration's strong resolve for military action if the Islamic regime does not agree to American terms.

Economic and Political Context

Since December 2025, Iran has suffered a political crisis following a currency collapse and a massive economic shock. As of February 2026, Iran's rial trades near 1.63 million per US dollar, eroding household purchasing power. Inflation is estimated at 50-60% year-on-year after staying above 30% for 5 consecutive years. The removal of a 'preferential exchange rate' for essential goods like wheat and medicine precipitated a fresh spike this month, while food prices rose 60-90% since late January.

IRR to USD (Dec 2025 - Jan 2026)

Source: Investing.com

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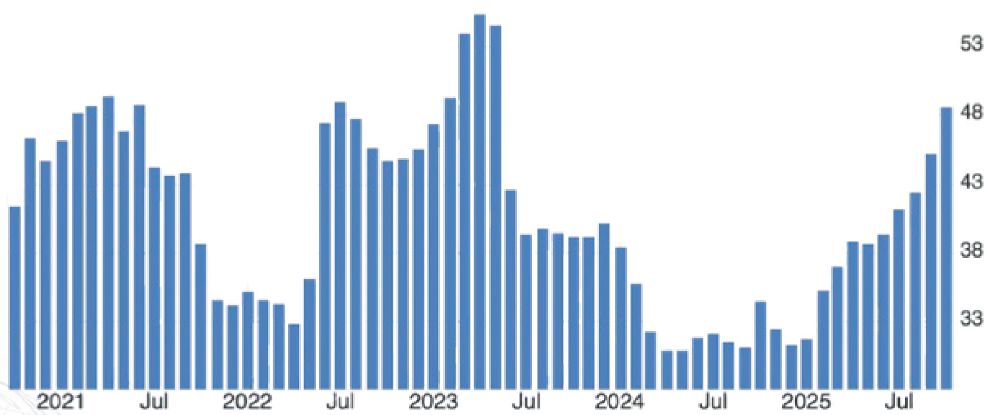


Source: Trading Economics

Nationwide demonstrations have taken place against this economic mismanagement and high levels of corruption. Following an escalation on 8 January 2026, security forces moved to suppress civil unrest, events now known as the Rasht massacre. The UN Human Rights Council overwhelmingly passed a resolution condemning what it described as an unprecedented violent crackdown on the protests.

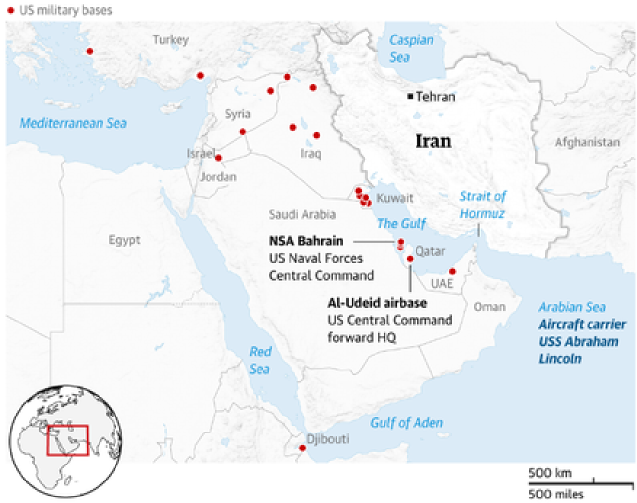
- Since December 2025, President Trump has warned of intervention if protesters are harmed.
- HRANA has confirmed the deaths of at least 392 people, while the Iran International news agency reports up to 36,500 deaths during the two-day massacre.

US Response

- Sanctions: In 2025, the US imposed sanctions restricting Iran's oil exports and access to foreign currency, further destabilizing its economy. In response to the Rasht massacre, the US introduced a new series of sanctions, targeting 9 oil export vessels and associated owners or management firms allegedly linked to state violence against protesters. US naval presence in the region sustains elevated tensions between the two nations.
    - Since March 2025, the nominal value of oil exports fell by approximately 10%, tightening fiscal space and increasing the government's reliance on domestic borrowing.
    - Iran and Venezuela have a long-established economic relationship, including the trade in oil and drones. US interference with the Venezuelan oil sector following its removal of Maduro, as well as its ongoing interceptions of Venezuelan, Iranian, and Russian "shadow fleet" oil tankers have amplified oil price volatility.
    - On 20 February 2026, US President Donald Trump gave Iran a timeline of '10 to 15 days' to agree to a nuclear deal. Iranian foreign minister Abbas Araghchi is expected to deliver a response in the coming days.

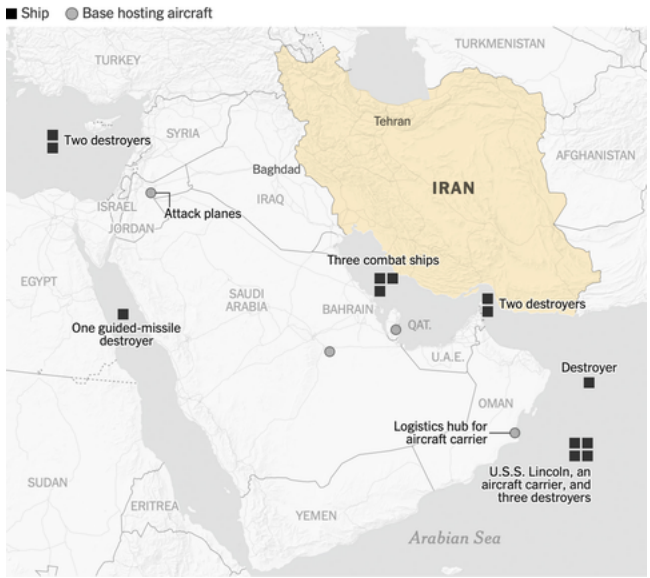
- Military Presence: Recent force movements raise concerns of an armed conflict between the US and Iran.
    - This is the largest buildup of American air power in the Middle East since the 2003 Iraq War.
    - The most recent military build-up in the Middle East occurred in June 2025, when the US targeted three Iranian nuclear sites during Israel's 12-day war with Tehran.
    - The US has expanded regional air-defense coverage, including THAAD and Patriot batteries, in preparation for potential Iranian retaliation.
    - The US State Department continues sanctioning vessels to further limit Iran's trade and put upward pressure on inflation. This is likely to encourage Iran to accept US terms in nuclear negotiations and create an off-ramp for the two sides.
- Nuclear Negotiations: Iran's nuclear potential is a longstanding concern for the US, which has moved to address the dispute in talks that resumed on 17 February 2026. The US also seeks to expand these talks to non-nuclear issues, such as Iran's missile program, with sanctions relief central to the bargaining. However, Iran currently stands firm against giving up uranium enrichment.
    - While the US posture increases pressure on Tehran, it also increases supply-chain risk: Iran has repeatedly threatened to disrupt the Strait of Hormuz, a critical chokepoint for seaborne oil trade, if attacked or if its regional interests are hit.

American Military Bases in the Middle East



Source: The Guardian

American Military Build-Up Near Iran (Jan-Feb 2026)



Source: The New York Times

Implications for Trade, Maritime Security, Airspace, and Energy

The Strait of Hormuz has again become a point of contention as the probability of conflict between Iran and the US rises. Tehran's military exercises and missile tests have already led to a temporary and partial disruption of transit through the Strait.

- Even a partial closure of the Strait places stress on energy markets. Shipments bound for Asia have faced significant disruptions, with energy-related cargo being the worst hit.
- Russian warships conducted joint exercises with Iran in the Gulf of Oman on 17 February in an effort to 'boost' Russia-Iran naval cooperation. These drills are a choking mechanism used by Iran and its allies to rattle oil prices, sending Brent Crude from US$ 65.76 on 17 February to US$ 70.61 on 23 February.
- Airlines have cancelled flights to the region and changed flight paths to avoid Iraq, Iran, Syria, and other high-risk air corridors.

Regional Outlook

Late February 2026 marks an inflection point for the Middle East. President Trump's 10-15 day deadline for Iran to agree to a "meaningful" nuclear deal, the presence of two carrier strike groups, and limited progress in indirect talks raise the probability of an escalation if diplomacy stalls into early March. While indirect talks in Geneva on 17 February showed marginal progress, the US remains firm on a 'zero-enrichment' demand that Tehran has historically rejected as a red line. The immediate risk remains a miscalculation in the Strait of Hormuz, where intensified naval activity can transmit shocks into energy markets and trigger wider regional spillover.